

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 895

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO DATA CENTERS; PROVIDING LEGISLATIVE FINDINGS AND INTENT; AMENDING CHAPTER 2, TITLE 42, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 42-252, IDAHO CODE, TO ESTABLISH LIMITATIONS FOR CONSUMPTIVE USE OF WATER FOR DATA CENTERS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. LEGISLATIVE FINDINGS AND INTENT. (1) The Legislature finds that data centers, as defined in section 63-3622VV, Idaho Code, require significant amounts of water, and, therefore, finds, for purposes of sections 42-202A and 42-222, Idaho Code, that the water required by data centers:

(a) Conflicts with the local public interest as defined in section 42-202B, Idaho Code;

(b) Is contrary to the conservation of water resources within the state of Idaho; and

(c) Will adversely affect the local economy of the watershed or local area within which the source of water for the proposed use originates, in the case where the place of use is outside of the watershed or local area where the source of water originates.

(2) The Legislature further finds that the director of the Department of Water Resources is required to make findings related to these criteria when evaluating a new appropriation or transfer of existing water rights for data centers, and it is the intent of the Legislature for the director to consider these legislative findings regarding the data center's consumptive use and its impacts to Idaho's water supply.

SECTION 2. That Chapter 2, Title 42, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 42-252, Idaho Code, and to read as follows:

42-252. LIMITATIONS ON CONSUMPTIVE USE -- DATA CENTERS. Data centers, as that term is defined in section 63-3622VV, Idaho Code, that begin construction on or after July 1, 2026, may not use water for cooling purposes as a consumptive use, unless the water is supplied by a municipal, water district, or water and sewer district water system.

SECTION 3. An emergency existing therefor, which emergency is hereby declared to exist, this act shall be in full force and effect on and after July 1, 2026.